

THE FRONTLINE OF REFORM

The former finance minister, responsible for transforming a begging-bowl India into an assertive economy, is needlessly defensive



MY YEARS AS FINANCE MINISTER:
CONFESSIONS OF A SWADESHI REFORMER
by YASHWANT SINHA
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■ By Surjit S. Bhalla

If only Yashwant Sinha had realised that he was among the top two finance ministers this country has produced (*numero uno* being obviously Manmohan Singh between 1991 and 1995), he would have written a somewhat different book.

On the whole, *Confessions of a Swadeshi Reformer* is more defense than offence. A pity. And some important issues are not defended at all. For example, swadeshi economics, also known as CPI(M) economics, which Sinha defines as: "swadeshi does not mean isolation, swadeshi means making India strong and self-reliant so that we can compete with the world and win". Let us see now—all those who believe their country should not be strong, and should not compete, and not win, please raise their left hand. Oops, there is no one doing so, not even Hugo Chavez of Venezuela or Castro of Cuba, or even the CPI(M) of India. The critical difference between countries and economic policies is in the lengths leaders go to, to stress the swadeshi part; that is what distinguishes an economically unfree country (a swadeshi economics country) from an economically free one (a non-swadeshi country).

The first Budget Sinha presented on June 1, 1998—in the aftermath of the Pokhran bomb exploded less than a month earlier—was a swadeshi Budget, one not received so well by anybody except the BJP. It raised taxes

here, lowered taxes there, all done in traditional swadeshi style: "Our concept of swadeshi was clearly creating a great deal of apprehension in the minds of people abroad." Sinha conveniently forgets to mention apprehensions at home. This was what one commentator—myself—wrote about the Budget on June 2, in *The Economic Times*: "We now know both the political and economic vision of the BJP—explode bombs whenever you can. The Budget is a bomb which is likely to form craters in the recent economic growth profile of India. With its tinkeringisation, it will get us back to the oh-so-comforting, pre-1980s Hindu growth rate. Raise a tax here, lower a tax there.... the only other gainers of a high and varied tariff regime are the government bureaucrats who have to decide which tariff item goes into what slot—solid, liquid or gas. Some money changes hands and the solid becomes a gas. Surely, India did not need more corruption. Surely, I am wrong."

And Sinha does not realise that a comparison with Indira Gandhi, for economic policies, is the most insulting statement he could make about himself and his policies. "But there was appreciation as well (of the 1998 Budget). One of my parliamentary colleagues said, 'If you sat back with your eyes closed during the early part of Mr Sinha's speech, it could well have been Mrs Gandhi holding forth.'" So now we know, correctly, what a swadeshi budget is—Mrs Gandhi economics.

But the BJP, and Sinha, soon realised that swadeshi, or Mrs Gandhi economics, was the shortest way back to the justifiably derided 'Hindu rate of growth'. The first signs came with him earning the sobriquet, 'Roll-back



IN PUBLIC INTEREST: Sinha slashed interest rates, making India competitive Sinha'. At that time, it was an insult. Today, roll-back is a compliment. For what Sinha and the BJP showed was a significant lack of arrogance. Better to admit that one is human, and therefore liable to make mistakes. It takes a confident man to admit he is wrong. Only the highly insecure do not change their minds, despite all the evidence that they have made a mistake. And insecurity and arrogance are often the twin sides of the same coin.

There have been a lot of confident policy changes brought about by Sinha. First the rejection of the slave-like addiction to the 5 p.m. slot for the Union Budget. Why was such a time chosen? Because the British MPs would just be lounging in to work at noon in the time of the Raj. Strange that for more than 50 years, the freedom fighters from the Congress party never saw it fit to